The world in brief

Catch up quickly on the global stories that matter

Photograph: AFP via Getty Images

Donald Trump announced a **two-week ceasefire** with **Iran**, subject to the Islamic Republic agreeing to the "immediate" opening of the **Strait of Hormuz**. The president had given Iran a deadline of 8pm Eastern Time to strike an agreement. Mr Trump, noting that Pakistan was mediating between the warring countries, said he had received a "workable" ten-point peace proposal from Iran on which to negotiate.

Iran's National Security Council declared "victory" and claimed **America** had accepted key elements of its ten-point plan, including security guarantees, sanctions relief and Iranian control over the Strait of Hormuz. Iran's foreign minister said that transit through the strait would be allowed for two weeks under the supervision of the country's armed forces. Meanwhile, **Israel** and some **Gulf states** said they were intercepting Iranian missiles and drones.

Markets rallied following the ceasefire announcement. **Crude prices** in America plunged, with West Texas Intermediate futures falling by more than 10%, to less than $100 a barrel in early trading. Equity-index futures rose, while Treasury prices climbed, pushing yields lower. The dollar weakened as investors rotated out of safe-haven assets.

Intel announced it would join **Elon Musk's** Terafab project. The chipmaker will partner with Tesla, SpaceX and xAI to help Mr Musk manufacture his own chips for robotics and data centres in space. Intel's shares rose by nearly 5% before falling following the announcement. Meanwhile, SpaceX is expected to list its shares in the largest initial public offering of all time this year.

Novo Nordisk, a Danish drugmaker, released a stronger version of its weight-loss drug, **Wegovy**, in America. It will be sold for 40% less than **Zepbound**, made by Novo's American rival, Eli Lilly, and contains three times the dose of its previous formulation. Novo has recently lost ground to Lilly; Zepbound previously outperformed Wegovy, and outsells it by more than two to one in America.

Pershing Square Capital, a hedge fund, offered to buy **Universal Music Group** in a deal which values the world's largest music label at $64bn. Universal's shares, which had fallen by over 30% in the past six months over worries that AI-generated music could saturate the music industry and reduce profits, jumped by over 10% in early trading. The deal is expected to be completed by the end of the year.

Wireless Festival, a big music event in London due to happen in July, was cancelled after the British government denied its headline act, Ye, entry into Britain. The rapper, formerly known as **Kanye West**, has made antisemitic statements in the past and released a song called "Heil Hitler". He has since apologised for his "actions". Ye said that he still hopes to have a "conversation with the Jewish community" in Britain.

Figure of the day: 17%, the percentage of Americans who bet on a sporting event last year, more than double the rate two years earlier. Read the full story.

Photograph: Reuters

A MAGA pilgrimage to Budapest

J.D. Vance, America's vice-president, arrived in Budapest on Tuesday to show his support for Viktor Orban, Hungary's prime minister, ahead of parliamentary elections on April 12th. Most opinion polls show Mr Orban's party, Fidesz, well behind its upstart challenger, Tisza, led by a former Fidesz man, Peter Magyar.

Mr Orban has fostered close ties with leading figures on the American right ever since his party won election in 2010. His government financed the Danube Institute, a conservative think-tank, to export its hard-right politics around the world. For MAGA Republicans Mr Orban is a model to emulate: a scourge of the woke, a defender of borders, tradition and Christianity.

In Budapest, Mr Vance praised him as a "statesman" and attacked European Union "bureaucrats" for undermining Hungary. He even phoned Donald Trump during a rally, broadcasting the president's support for Mr Orban. The Hungarian leader might have preferred Mr Trump in person. But with polls pointing the other way, America's president is known to stay away from losers.

Photograph: Reuters

Taiwan’s opposition leader visits China

On Tuesday the leader of Taiwan’s main opposition party, Cheng Li-wun, travelled to China at the invitation of President Xi Jinping—the first such trip in a decade. The Kuomintang (KMT) and the Chinese Communist Party were once sworn enemies. Now China sees the KMT as its best chance of peacefully reuniting the island with the mainland. Ms Cheng has frequently asserted that both sides of the Taiwan Strait are part of “one China”.

If Ms Cheng were to make similar comments during a formal visit to the mainland it would be a coup for China’s propaganda machine. Ms Cheng’s movements are being closely watched in America, too, where a bipartisan group of senators has been urging Taiwan’s parties to unite behind a proposed $40bn increase in defence spending, which Ms Cheng is blocking. But in roughly a month there is a summit planned between Donald Trump and Mr Xi, at which China’s president is expected to press for reduced American arms sales to Taiwan.

Photograph: Getty Images

A bond market tug of war

Governments' borrowing costs have been in flux almost everywhere. In the turmoil of the Iran war bond yields first soared—reaching highs not seen in Britain since 2008 or Japan since 1997—before falling back last week.

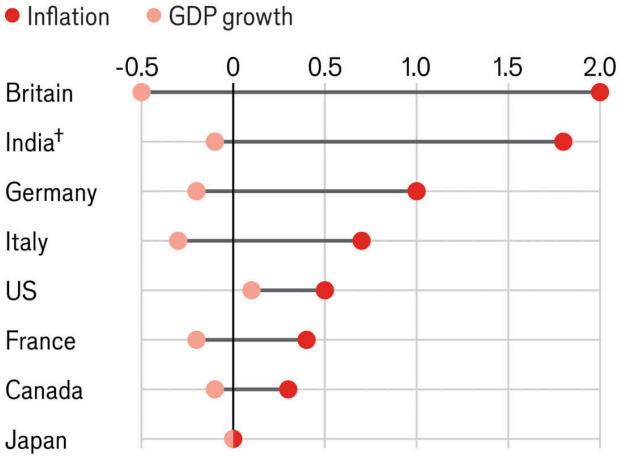
Optimists might conclude that yields have dropped because hostilities will soon end, allowing oil to flow freely through the Strait of Hormuz. But optimists generally do not pursue careers in bond investing. In the case of the Iran war, the job means fretting about stagflation: economic stagnation combined with high inflation. Borrowing costs are whipsawing because these two dangers tug them in opposite directions.

Governments most exposed to inflationary pressure from Hormuz's closure have seen their yields jump highest (Britain, India). Early in the war traders bet that the Federal Reserve would stop cutting rates to contain the inflationary effects of the energy shock. Now they expect cuts again to promote growth—something that could exacerbate inflation. The longer Hormuz stays shut the higher the stakes get.

Fire and ice

Cumulative change in 2026 and 2027 forecasts*

Percentage points



*Forecasts made in Mar 2026 compared with Dec 2025 †Fiscal years beginning April

Source: OECD

Illustration: Sandra Navarro

Daily Quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to . We'll pick three winners at random and crown them on Saturday.

Tuesday: Which political party won the largest share of the vote in the recent Baden-Wũrttemburg regional election?

Monday: Who is the president of the European Central Bank?

A business that makes nothing but money is a poor business.

Henry Ford